01 QUESTION ONE · ORGANISATION

# What is organization & explain its type.

4 A4 PAGES
TYPES EXPLAINED ON PAGES 2-3



## WHAT IS AN ORGANIZATION?

An **organization** is a process in which people, work, resources and the ways of working are arranged so that together they can achieve a common objective. In simple words, it is a structure in which people sit at different positions, their duties are clearly defined, and everyone works towards a larger aim according to his or her own role. Every organization has a clear **hierarchy** — who will work under whom is decided well in advance.

An organization can be understood by comparing it with a building. Just as the pillars, walls and roof of a building together make a strong structure, the people, the work and the rules together create a productive working system. It is not merely a crowd of people gathered in one place; it is a system in which everything is arranged systematically so that effort is not wasted.

Its importance is that it makes work possible on a scale no single person could manage.

FOUR ELEMENTS, ONE COMMON GOAL

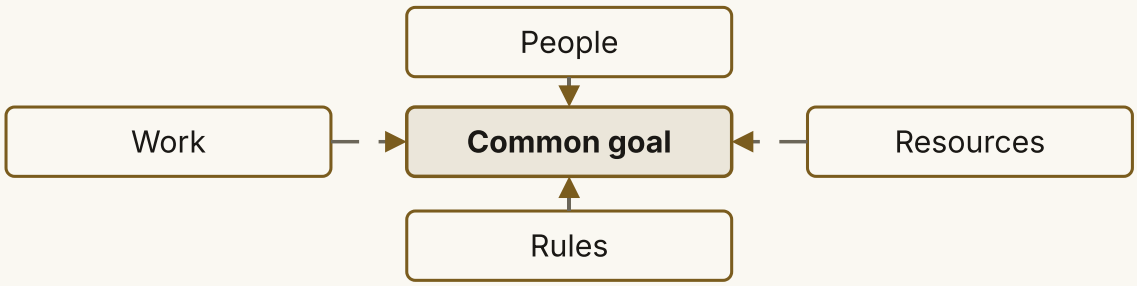



FIG. 1 — HOW THE FOUR ELEMENTS OF AN ORGANIZATION MEET. PEOPLE, WORK, RESOURCES AND RULES ARE NOT SEPARATE DEPARTMENTS; EACH ONE FEEDS INTO THE SAME COMMON GOAL, AND THE STRUCTURE EXISTS ONLY TO KEEP THEM MOVING TOGETHER.

## TYPES OF ORGANIZATION

### 1. Line Organization

This is the oldest and simplest form. One person stands at the very top and the others are arranged below him in a single straight line, rather like an army. Every manager directly controls the people under him, and every employee takes orders from only one boss. Authority flows straight from the top to the bottom.

**Advantages:** responsibility is clear, decisions are quick and coordination is easy. **Disadvantages:** one manager carries too heavy a load and specialist advice is not available when needed. It is used in small organizations and in bodies such as the army and the police.

### 2. Functional Organization

This form is built by **specialisation**. The work is divided by department — accounts, sales, production — and each department is headed by a manager who understands only that field. **Advantages:** a manager is not distracted by work outside his subject and experts are always available. **Disadvantages:** departments may pull in different directions, and no single manager can see the whole of the business.

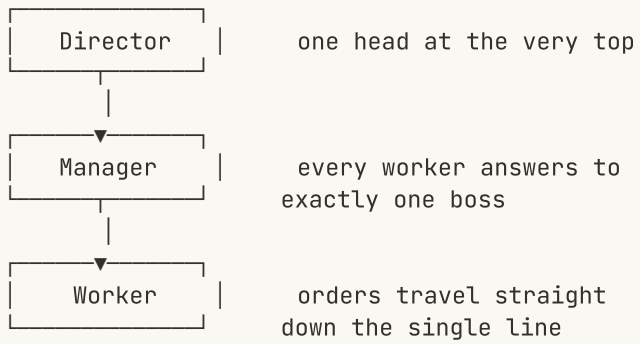



FIG. 2 — THE LINE ORGANIZATION IN TEXT FORM. THERE IS EXACTLY ONE LINE OF AUTHORITY FROM THE DIRECTOR TO THE WORKER, SO NOBODY HAS TO ASK WHICH ORDER TO OBEY FIRST.

### 3. Line and Staff Organization

In this structure, along with line authority, there are also **staff** members. Line officers do the actual work and take the decisions, while staff officers are specialists who only **advise**. In a company the production manager is a line officer, and attached to him is an HR expert who only advises on manpower and training.

**Advantages:** the clear responsibility of a line organization and the specialisation of a functional one are obtained together. **Disadvantages:** friction can arise between the line and the staff.

### 4. Matrix Organization

This is a modern structure in which one employee reports to **two bosses** — a functional manager and a project manager. A software engineer, for example, reports both to his technical manager and to a project manager at the same time.

**Advantages:** resources are used in the best possible way and projects are completed quickly. **Disadvantages:** an employee receives orders from two places, and the two managers may come into conflict.

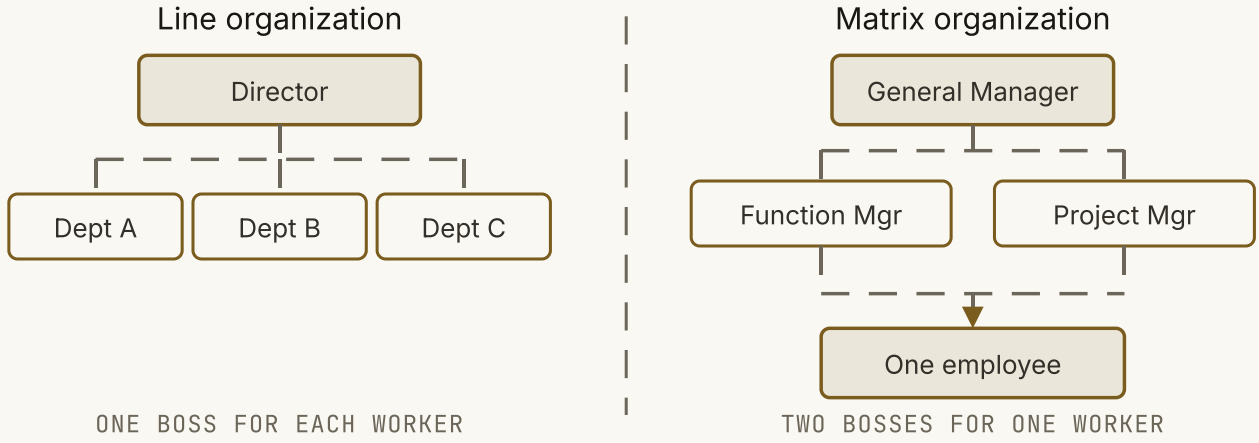



FIG. 3 — THE LINE STRUCTURE GIVES EVERY WORKER A SINGLE CLEAR BOSS; THE MATRIX STRUCTURE MAKES ONE EMPLOYEE ANSWER TO TWO MANAGERS AT ONCE.

## COMPARISON OF THE FOUR TYPES

| TYPE | BOSSES | BEST FOR |
|---|---|---|
| Line | One | Small organizations, army |
| Functional | One, by department | Large organizations |
| Line and Staff | One, plus advisers | Medium and large |
| Matrix | Two | Project-based work |

Beyond these four, a **Committee Organization** places a group of people at the top instead of a single head; all the members discuss a matter and reach a joint decision, which is useful for policy but slow when speed matters. A **Project Organization** gathers a temporary team for one task and disbands it afterwards.

The choice among them is not a matter of taste. If the work is simple and the staff small, the **line** form is enough, because the extra layers of a bigger structure would cost more than they save. As soon as the organisation needs people who know one subject deeply, **functional** departments pay for themselves. When advice is needed alongside command, **line and staff** gives both. When several projects must share the same scarce staff, only the **matrix** can do it.

What decides the matter is therefore the **size** of the organisation, the **type of work** and the **skill of the people** available, which is why a large company runs more than one form at a time.

### CONCLUSION

The right structure depends on the size of the organization, the type of work and the skill of the people available; no single type suits every situation.

02 QUESTION TWO · TAYLOR'S THEORY

# Explain the F.W. Taylor motivational theory of management.

4 A4 PAGES
NUMERICAL EXAMPLE ON PAGE 4



## F.W. TAYLOR AND HIS MOTIVATIONAL THEORY

**Frederick Winslow Taylor (1856)** is known as the **"Father of Scientific Management"**. He spent his life trying to raise the productivity of factory workers, and he believed a worker must be given the right **motivation** to work.

His basic idea was that the old way of working produced a great deal of waste — of time, of effort and of money. He argued that every job should be studied in a **scientific manner** so that the single best method for it could be discovered, and the workers who used that best method should then be given **more money as an incentive**. In his view the interests of management and workers are not opposed, because higher production means higher profit for the company and higher wages for the worker.

FOUR ELEMENTS, ONE COMMON GOAL

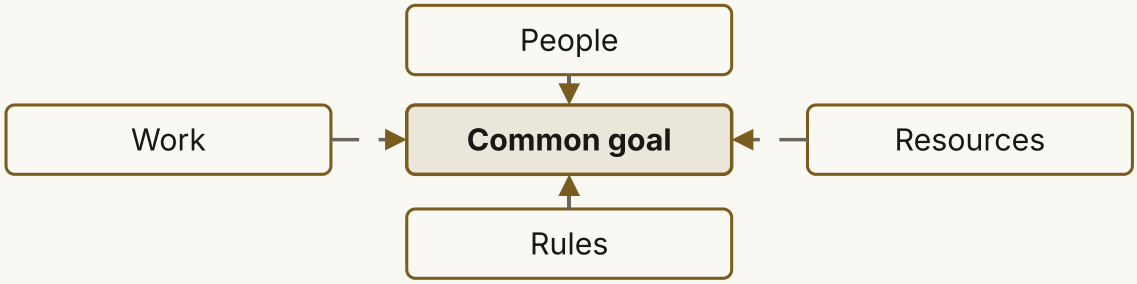



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## TAYLOR'S MOTIVATIONAL METHOD — DIFFERENTIAL PIECE-RATE SYSTEM

The most important part of the theory is the **Differential Piece-rate System**, a wage incentive scheme. A worker is paid according to the **number of pieces** he produces, and beyond that he is paid by his **rate**. If he reaches the standard set for the job he is paid a **higher rate per piece**; if he falls below the standard he is paid a **lower rate per piece**. The efficient worker therefore earns far more than the inefficient one, and this large difference — the "differential" — pushes every worker to produce more.

### Standard Time and Time Study

To fix a fair standard Taylor used the **time and motion study**: the time to complete one unit is measured and a **standard time** is set. A worker within it is efficient and gets the high rate; one who takes longer gets the low rate. Because the standard comes from measurement rather than guesswork, it was fair to both sides.

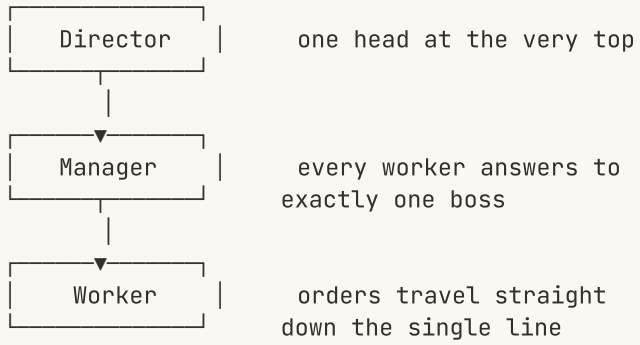



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### Main Advantages of the Theory

**Immediate motivation:** more work brings more money, so the worker is motivated by self-interest.

**Higher productivity:** the best method raises the output of the whole factory, not only of one worker.

**Fair to both sides:** the standard is fixed by measurement, so neither the owner nor the worker can be cheated.

**Selection of capable workers:** the system naturally brings the efficient worker to the front.

**Planned working:** the manager, the foreman and the worker all know exactly what has to be done and in which order.

**Reduced wastage:** the best method cuts waste of material, time and effort.

### How the System Is Worked Out in a Factory

Suppose a workshop makes tables and the standard time for one table is fixed at twenty minutes. A worker who finishes in eighteen minutes earns the high rate, and one who takes twenty-five minutes earns the low rate. Because the two rates are far apart, every worker has a clear reason to learn the best method rather than work at his own speed.

Management plays its part too: it must first **select** workers able to reach the standard, then **train** them in the best method, and only then **pay** them by the differential rate. The order matters, because paying before training rewards the wrong thing.

### Limitations of Taylor's Theory

**It treats the worker as a machine.** Taylor studied the body and the time, but not the mind; he did not see the satisfaction a worker gets from doing a good job.

**It ignores the human element.** A worker forced to one speed loses interest, and a bored worker produces less, not more.

**It divides management and workers.** The two sides are asked to work as separate groups, and mutual confidence is replaced by bargaining.

**It cannot suit every job.** Creative and skilled work cannot be measured by the piece.

**It may lead to a speed-only culture.** Once the rate is known, workers may hurry and quality falls.

### Impact of the Theory

Taylor's work changed management for ever. He introduced the idea of **scientific** management, and his time studies became the basis of modern work measurement. Even the criticisms led to a better system, because they showed that a worker needs both money and a sense of purpose.

Because Taylor looked only at output and time, the work of people who cannot be measured at all was left out. A teacher, a nurse or a designer is judged by what the work achieves, and no stopwatch can record it. His system also assumed that a worker is interested only in money, and in many factories today pay is the smallest part of what keeps a person at a post.

> CONCLUSION
>
> Taylor proved that a worker performs better when the method is studied scientifically and better work is rewarded with better pay.

# What is leadership style & its function.

4 A4 PAGES
STYLES + FUNCTIONS ON PAGES 2-4



## WHAT IS LEADERSHIP?

**Leadership** is the process in which a person influences other people, guides them and leads them towards a common objective. A leader is someone who creates confidence, shows the right path and keeps people motivated. Leadership does not merely mean giving orders; it means inspiring people so that they give their best. A leader's influence comes not only from his office but, more importantly, from his personal qualities.

There is a basic difference between leadership and management. A **manager** makes plans, organises the work and controls it, and holds formal authority given by his position. A **leader** provides a vision and inspiration, and his influence springs from his own character. In practice a good manager should also be a good leader, and a good leader should also be able to manage. Authority can make a person obeyed, but only leadership can make people *want* to work.

FOUR ELEMENTS, ONE COMMON GOAL

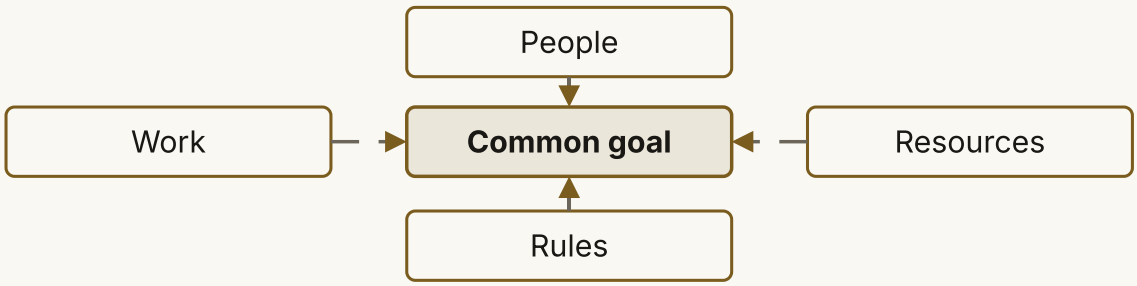



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## LEADERSHIP STYLES

A **leadership style** is the manner in which a leader talks to his people, guides them and takes decisions. Different styles suit different situations, and a wise leader often changes his style according to the need.

### 1. Autocratic (Authoritarian) Style

The leader **takes all decisions himself** and the team is simply given orders; their opinion is not asked for. Communication flows in one direction only, from the top downwards. Decisions are quick and discipline is strong, but the morale of the team is low and there is little room for new ideas. It suits emergencies and unskilled or new workers.

### 2. Democratic (Participative) Style

The leader **takes the opinion of the team** before deciding and listens to their suggestions, although the final choice remains his. Communication flows both ways. Morale is high, motivation increases and people feel valued, so creativity and teamwork improve. Its only drawback is that decisions can be slower.

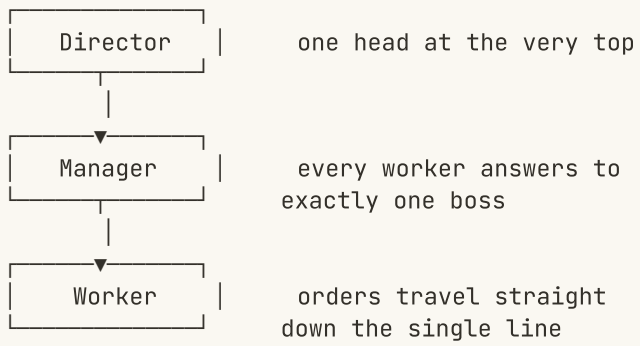



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### 3. Laissez-faire (Free-rein) Style

The leader gives the team complete freedom and takes no decisions himself. He only guides them from a distance and checks the result at the end. This style builds confidence and independence and is the best choice for expert teams, but with weak or new workers it can lead to nothing being done at all.

### 4. Paternalistic (Patriarchal) Style

The leader behaves like a father. He takes all the decisions, but he also knows his people personally, protects them and guides them like a family. The style works well in small units and in homes, but it produces obedience rather than creativity.

### 5. Situational Style

The leader changes his style according to the situation. He may be autocratic in an emergency, democratic when planning and free-rein when the team is fully trained. This is the most practical style, but it is also the hardest, because it demands judgement.

Three more styles are commonly named. The **charismatic** leader wins obedience through personality and vision; the **transactional** style works by reward and punishment, a bonus or a warning following the measurement; and the **transformational** leader raises the standard of the whole team by setting a shared vision.

## COMPARISON OF LEADERSHIP STYLES

The table below sets the five styles side by side against two questions that decide everything: who takes the decision, and what situation the style suits.

| STYLE | WHO DECIDES | BEST SITUATION |
|---|---|---|
| Autocratic | The leader alone | Emergency, untrained staff |
| Democratic | The team advises | Planning, creative work |
| Laissez-faire | The team alone | Expert, self-driven team |
| Paternalistic | The leader, as a father | Small close-knit units |
| Situational | Depends on the case | Almost every situation |

### CONCLUSION

No style is best by itself.

Three general points close the comparison. First, the **autocratic** style gives speed and control but the least freedom; the **democratic** style gives the most freedom but takes the most time; the **free-rein** style gives freedom without control and therefore needs a mature team.

Second, every style depends on the person beneath it. An inexperienced leader who works democratically may simply be ignored, while an experienced one is obeyed without difficulty. The style is a tool, and like any tool it does nothing until it is in the right hands.

Third, no real organisation uses only one style. Choosing correctly between them, again and again, is what leadership actually is.

The autocratic style produces speed, the democratic style produces cooperation and the situational style gives the leader the freedom to choose between them.